WELLS FARGO ADVISORS

2015 tax planning tables

Together we'll go far

2015 important deadlines

Last day to ...

January 15

- Pay fourth-quarter 2014 federal individual estimated income tax

January 27

- Buy in to close a short-against-the-box position (regular-way settlement)

March 16

- Establish and fund SEP plans for corporations for 2014 (filing an extension extends the deadline)
- Fund employer contributions for retirement plans for corporations (filing an extension extends the deadline)

April 1

- Take 2014 required minimum distribution (RMD) from traditional IRAs if you reached age 70½ in 2014

April 15

- File 2014 federal individual income tax return (or file an extension)
- Pay first-quarter 2015 federal individual estimated income tax
- Make 2014 contribution to traditional IRA, Roth IRA, or Education Savings Account (ESA)
- Establish and fund SEP plans for sole proprietorships and partnerships for 2014 (filing an extension extends the deadline)

June 15

- Pay second-quarter 2015 federal individual estimated income tax

September 15

- Pay third-quarter 2015 federal individual estimated income tax

October 1

- Establish a SIMPLE IRA/safe harbor 401(k)

October 15

- File 2014 federal individual income tax return subject to automatic extensions
- Recharacterize a 2014 Roth IRA conversion

November 30

- Double up to avoid violating the "wash sale" rule

December 31

- Sell stock or listed options to realize a gain or loss
- Establish a new qualified plan (calendar-year taxpayers)
- Complete gifts for the current calendar year (charitable or other)
- Take 2015 RMDs from traditional IRAs and most qualified plans if you reached age 70½ before 2015
- Complete a Roth IRA conversion
- Complete a 529 plan contribution
- Sell shares acquired through the 2015 exercise of incentive stock options (ISOs) in disqualifying disposition to limit alternative minimum tax (AMT) exposure

2015 income tax rate schedules

Married taxpayer filing jointly/surviving spouse

Taxable income*		Tax		
Over	But not over	Pay	+ % on excess	Of the amount over
$ 0	$ 18,450	$ 0.00	10%	$ 0
$ 18,450	$ 74,900	$ 1,845.00	15%	$ 18,450
$ 74,900	$ 151,200	$ 10,312.50	25%	$ 74,900
$ 151,200	$ 230,450	$ 29,387.50	28%	$ 151,200
$ 230,450	$ 411,500	$ 51,577.50	33%	$ 230,450
$ 411,500	$ 464,850	$ 111,324.00	35%	$ 411,500
$ 464,850	–	$129,996.50	39.6%	$ 464,850

Single taxpayer

Taxable income*		Tax		
Over	But not over	Pay	+ % on excess	Of the amount over
$ 0	$ 9,225	$ 0.00	10%	$ 0
$ 9,225	$ 37,450	$ 922.50	15%	$ 9,225
$ 37,450	$ 90,750	$ 5,156.25	25%	$ 37,450
$ 90,750	$ 189,300	$ 18,481.25	28%	$ 90,750
$ 189,300	$ 411,500	$ 46,075.25	33%	$ 189,300
$ 411,500	$ 413,200	$ 119,401.25	35%	$ 411,500
$ 413,200	–	$119,996.25	39.6%	$ 413,200

Head of household

Taxable income*		Tax		
Over	But not over	Pay	+ % on excess	Of the amount over
$ 0	$ 13,150	$ 0.00	10%	$ 0
$ 13,150	$ 50,200	$ 1,315.00	15%	$ 13,150
$ 50,200	$ 129,600	$ 6,872.50	25%	$ 50,200
$ 129,600	$ 209,850	$ 26,722.50	28%	$ 129,600
$ 209,850	$ 411,500	$ 49,192.50	33%	$ 209,850
$ 411,500	$ 439,000	$ 115,737.00	35%	$ 411,500
$ 439,000	–	$125,362.00	39.6%	$ 439,000

Married taxpayer filing separately

Taxable income*		Tax		
Over	But not over	Pay	+ % on excess	Of the amount over
$ 0	$ 9,225	$ 0.00	10%	$ 0
$ 9,225	$ 37,450	$ 922.50	15%	$ 9,225
$ 37,450	$ 75,600	$ 5,156.25	25%	$ 37,450
$ 75,600	$ 115,225	$ 14,693.75	28%	$ 75,600
$ 115,225	$ 205,750	$ 25,788.75	33%	$ 115,225
$ 205,750	$ 232,425	$ 55,662.00	35%	$ 205,750
$ 232,425	–	$ 64,989.25	39.6%	$ 232,425

* Taxable income is income after all deductions (including either itemized or standard deduction) and exemptions.

Standard deductions

Married/ joint	Single	Head of household	Dependents	Married/ separate
$12,600	$6,300	$9,250	$1,050	$6,300

For dependents with earned income, the deduction is greater of $1,050 or earned income +$350 (up to $6,300).

Additional standard deductions

Married, age 65 or older or blind	$ 1,250*
Married, age 65 or older and blind	$ 2,500*
Single, age 65 or older or blind	$ 1,550
Single, age 65 or older and blind	$ 3,100

* per person

Personal and dependency exemption: $4,000

Personal and dependency exemption phaseouts

Phaseouts	Exemption reduced when AGI exceeds	Exemption phased out when AGI exceeds
Married/joint	$309,900	$432,400
Single	$258,250	$380,750
Head of household	$284,050	$406,550
Married/separate	$154,950	$216,200

Itemized deduction phaseouts

Phaseouts	Deduction reduced when AGI exceeds*
Married/joint	$309,900
Single	$258,250
Head of household	$284,050
Married/separate	$154,950

* Itemized deductions will be trimmed by 3% of the amount by which your AGI exceeds these thresholds. However, the amount of your itemized deductions will never be reduced by more than 80%.

Tax credit for dependent children

	Modified adjusted gross income (MAGI)	Tax credit for each child younger than age 17
Married/joint	$0 - 110,000	$1,000
Individual	$0 - 75,000	$1,000

Tax credit is reduced by $50 for each $1,000 by which the taxpayer's MAGI exceeds the maximum threshold.

Alternative minimum tax (AMT)

Tax brackets

AMT income	Tax
Up to $185,400*	26%
Over $185,400	28%

* $92,700 if married filing separately

AMT exemption

	Exemption	Phased out on excess over
Married filing joint and surviving spouse	$83,400	$ 158,900
Unmarried individual	$53,600	$ 119,200
Married filing separately	$ 41,700	$ 79,450
Estates and trusts	$23,800	$ 79,450

Capital gains and losses and dividends

	10% and 15% tax bracket	25% up to 35% tax brackets	39.6% tax bracket
Short-term (one year or less)	Ordinary rate	Ordinary rate	Ordinary rate
Long-term (longer than one year)	0%*	15%*	20%
Dividends	Qualified dividends are taxed at the long-term capital gain rates; nonqualified dividends are taxed at ordinary income tax rates.		

* To the extent taxable income remains in these brackets. Consult your tax advisor about how this applies to your situation. Higher rates apply to collectibles and unrecaptured §1250 gain.

Netting capital gains and losses

1. Net short-term gains and short-term losses.
2. Net long-term gains and long-term losses.
3. Net short-term against long-term.
4. Deduct up to $3,000 of excess losses against ordinary income per year.
5. Carry over any remaining losses to future tax years.

Education planning

Education Savings Accounts (ESA)

- Maximum nondeductible contribution is $2,000 per child, per year.
- Must be established for the benefit of a child younger than the age of 18.
- Maximum contribution amount is lowered if a contributor's modified adjusted gross income (MAGI) is between:
  - $95,000 and $110,000 for individual filers
  - $190,000 and $220,000 for joint filers
- No contributions can be made if contributor's MAGI exceeds the stated limits or the beneficiary is age 18 or older.
- Interest, dividends, and capital gains grow tax deferred and may be distributed federal-income-tax free as long as the money is used to pay qualified education expenses.

529 plans

- Earnings accumulate tax-deferred; qualified withdrawals may be federal-income-tax-free.
- No income, state-residency, or age restrictions.
- Potential state-tax incentives available in some states.
- Contributions up to $70,000 (single) and $140,000 (married couples) allowed in one year without a reduction in the applicable gift/estate tax exclusion (see page 11). No additional gifting in the current year or next four years without incurring potential gift tax implications.

Please consider the investment objectives, risk, charges, and expenses carefully before investing in a 529 savings plan. The official statement, which contains this and other information, can be obtained by calling your Financial Advisor. Read it carefully before you invest.

American Opportunity Credit

Maximum credit	$2,500 per student for first four years of qualified expenses paid
MAGI phase-outs:	
Married filing jointly	$160,000 - $180,000
Single filer	$80,000 - $90,000

Lifetime Learning Credit

Maximum credit	20% of first $10,000 (per tax return) of qualified expenses paid in 2015
MAGI phase-outs:	
Married filing jointly	$110,000 - $130,000
Single filer	$55,000 - $65,000

Exclusion of U.S. Savings Bond interest

MAGI phase-outs:	
Married filing jointly	$115,750 - $145,750
Others	$77,200 - $92,200

Bonds must be titled in name(s) of taxpayer(s) only. Owner must be age 24 or older at time of issue. Must be Series EE issued after 1989 or any Series I bonds. Proceeds must be used for qualified postsecondary education expenses of the taxpayer, spouse, or dependent.

Student loan interest deduction

Maximum deduction	$2,500
MAGI phase-outs:	
Married filing jointly	$130,000 - $160,000
Others	$65,000 - $80,000

Kiddie tax

Children who have not reached the age of 19 by the end of the tax year are subject to the "kiddie tax" rules. If the child continues to be a full-time student, the rules apply until he or she turns age 24. The following tax rate schedule will apply (assumes no earned income).

Unearned income	Tax treatment
Less than $1,050	No tax
$1,050 - $2,100	Taxed at child's rate
More than $2,100	Taxed at the higher of the parents' top marginal rate or the child's tax rate

Estimated annual college costs

	Public*	Private*
2015	$20,168	$43,663
2020	$23,380	$52,109
2025	$27,104	$62,189
2030	$31,421	$74,218

* Total yearly costs for in-state tuition, fees, books, and room and board (transportation and miscellaneous expenses not included). Base is 2014-2015 school year. Costs for all future years projected by Wells Fargo Advisors in November 2014 assuming a 3.0% national average increase per year for public and a 3.6% national average increase per year for private.

Source: Trends in College Pricing. ©2014 collegeboard.com, Inc. Reprinted with permission. All rights reserved. collegeboard.com

Retirement accounts

Pretax 401(k), 403(b), 457, Roth 401(k), or 403(b)

Employee maximum deferral contributions	Catch-up contribution (if age 50 or older)
$18,000	$6,000
Combined limit for Roth 401(k) or Roth 403(b) and pretax traditional 401(k) or pretax 403(b) deferral contributions is $18,000 for those younger than 50.	

Traditional and Roth IRA

Maximum contribution	Catch-up contribution (if age 50 or older)
$5,500	$1,000

2015 contributions must be made no later than the tax-filing deadline, regardless of tax extensions. Traditional IRA contributions cannot be made for the year the owner turns age 70½ or subsequent years.

Traditional IRA deductibility limits

If neither individual nor spouse is a participant in another plan:
$5,500* maximum deduction

If the individual is an active participant in another plan:

Married/joint MAGI†	Single MAGI†	Deduction
Up to $98,000	Up to $61,000	$5,500*‡
$98,000 - $118,000	$61,000 - $71,000	Phased out
$118,000 and over	$71,000 and over	$0

* If a spouse (working or nonworking) is not covered by a retirement plan but his or her spouse is covered, the spouse who is not covered is allowed full deductibility up to $183,000 joint MAGI, phased out at $193,000 joint MAGI.

† Modified adjusted gross income

‡ Maximum deduction is $6,500 if age 50 or older.

Note: Phaseout for married filing separately is $0 - $10,000.

Roth IRA qualifications

- Contribution amount is limited if modified adjusted gross income (MAGI) is between:
  - $116,000 and $131,000 for individual returns*
  - $183,000 and $193,000 for married/joint filers
  - $0 and $10,000 for married filing separate
- Cannot contribute if MAGI exceeds limits.
- Contributions are not deductible.
- Contributions are allowed after the age of 70½ if made from earned income.

* Includes single filers, head of household, and married filing separately if you did not live with your spouse at any time during the year.

Retirement plan limits

Maximum elective deferral to SIMPLE IRA and SIMPLE 401(k) plans	$ 12,500
Catch-up contribution for SIMPLE IRA and SIMPLE 401(k) plans (if age 50 or older)	$ 3,000
Maximum annual defined contribution plan limit	$ 53,000
Maximum compensation for calculating qualified plan contributions	$265,000
Maximum annual defined benefit limit	$ 210,000
Threshold for highly compensated employee	$120,000
Threshold for key employee in top-heavy plans	$ 170,000
Maximum SEP contribution is lesser of limit or 25% of eligible income	$ 53,000

Uniform Lifetime/Minimum Distribution Table

Age	Life Expectancy Factor	Age	Life Expectancy Factor
70	27.4	88	12.7
71	26.5	89	12.0
72	25.6	90	11.4
73	24.7	91	10.8
74	23.8	92	10.2
75	22.9	93	9.6
76	22.0	94	9.1
77	21.2	95	8.6
78	20.3	96	8.1
79	19.5	97	7.6
80	18.7	98	7.1
81	17.9	99	6.7
82	17.1	100	6.3
83	16.3	101	5.9
84	15.5	102	5.5
85	14.8	103	5.2
86	14.1	104	4.9
87	13.4	105	4.5

Social Security benefits

Earnings test

The earnings test indicates the level of earnings permissible for Social Security benefits recipients without incurring a deduction from benefits. These limits are indexed to increases in national earnings.

Worker younger than full retirement age	$15,720
Year worker reaches full retirement age (applies only to earnings for months prior to attaining full retirement age)	$41,880
Worker at full retirement age	No limit

Maximum monthly benefit: $2,663

This benefit is for an individual who reaches full retirement age in 2015 and earns at least the maximum wage base amount for the best 35 years.

Information provided by the Social Security Administration.

Taxation thresholds

Up to a certain percentage of an individual's Social Security benefits is subject to taxation when his or her provisional income* exceeds certain threshold amounts:

	Up to 50% taxed	Up to 85% taxed
Married/joint	$32,000 - 44,000	More than $44,000
Single	$25,000 - 34,000	More than $34,000
Married filing separately	85% taxable†	

* Provisional income generally includes modified adjusted gross income (MAGI) plus nontaxable interest and one-half of Social Security benefits.

† There is an exception to this rule if you lived apart from your spouse for the entire year. Consult your tax advisor for more information.

Social Security tax rates

Maximum wage base for Social Security	$118,500
Employee	6.20%
Employer	6.20%
Self-employed	12.40%

Medicare tax rates

Thresholds

Single	$200,000
Married/joint	$250,000
Married/separate	$125,000
Trust/estate	$12,300

	Below threshold	Above threshold
Tax rate on employee compensation		
Compare thresholds to Medicare wages as reported on IRS Form W-2		
Employee's tax rate	1.45%	2.35%*
Employer's tax rate	1.45%	1.45%
Tax rate on self-employment income		
Compare threshold to net self-employment income as determined on IRS Form 1040 Schedule SE		
Owner's rate	2.90%	3.80%*
Tax rate on net investment income		
Compare threshold to MAGI		
Investor's tax rate	0.00%	3.80%

* Includes the 0.9% Medicare surtax.

Health and long-term care

Long-term care deduction for medical care*

Age attained before the close of the taxable year	Limit on premiums
40 or less	$ 380
More than 40 but not more than 50	$ 710
More than 50 but not more than 60	$ 1,430
More than 60 but not more than 70	$3,800
More than 70	$ 4,750

* Limitations apply based on type of taxpayer. You should consult your tax advisor regarding your situation.

Health Savings Account (HSA) limits

Maximum contribution

Single	Family
$3,350	$6,650

$1,000 catch-up contribution allowed per individual age 55 or older

Minimum health insurance plan deductible

Single	Family
$1,300	$2,600

Maximum out-of-pocket expenses

Single	Family
$6,450	$12,900

Federal trust and estate income tax

Tax rates

Taxable income		Tax		
More than	But not more than	Pay	+ % on excess	Of the amount more than
$ 0	$ 2,500	$ 0.00	15%	$ 0
$ 2,500	$ 5,900	$ 375.00	25%	$ 2,500
$ 5,900	$ 9,050	$ 1,225.00	28%	$ 5,900
$ 9,050	$12,300	$ 2,107.00	33%	$ 9,050
$12,300		$ 3,179.50	39.6%	$12,300

Estate, gift, and generation-skipping transfer tax

Gift tax annual exclusion

$14,000

An individual can give up to $14,000 per person per year to any number of beneficiaries (family or nonfamily) without paying gift tax or "using up" any available applicable exclusion amount.

Estate and gift tax - basic exclusion

$5,430,000

Estate or gift taxes apply to the extent that your cumulative transfers (lifetime exclusion gifts plus the taxable estate at death) exceed your applicable exclusion.

Your applicable exclusion consists of your $5,430,000 basic exclusion plus any "unused" exclusion received from a spouse who predeceased you.

Exclusion "portability": A deceased spouse's unused exclusion can only be transferred if (1) the spouse died after December 31, 2010, and (2) the deceased spouse's executor made an election to transfer any unused exclusion to the surviving spouse by filing a timely estate tax return.

Generation-skipping transfer (GST) tax exemption

$5,430,000

Estate, gift, and GST tax rate

40%

Applies to transfers in excess of the applicable exclusion/ GST exemption.

Corporate income tax

Tax rates

Taxable income		Tax		
Over	But not over	Pay	+ % on excess	Of the amount over
$ 0	$ 50,000	$ 0	15%	$ 0
$ 50,000	$ 75,000	$ 7,500	25%	$ 50,000
$ 75,000	$ 100,000	$ 13,750	34%	$ 75,000
$ 100,000	$ 335,000	$ 22,250	39%	$ 100,000
$ 335,000	$10,000,000	$ 113,900	34%	$ 335,000
$10,000,000	$15,000,000	$3,400,000	35%	$10,000,000
$15,000,000	$ 18,333,333	$ 5,150,000	38%	$15,000,000
$ 18,333,333		$ 6,416,667	35%	$ 18,333,333

Note: There are no special federal capital gains rates for corporations. For corporations, capital losses are deductible only against capital gains. Corporations pay alternative minimum tax (AMT) at a 20% rate.

Stay abreast of pending tax legislation and keep in touch with your Financial Advisor.

Wells Fargo Advisors suggested spending guidelines

Mortgage payments	Not to exceed 28% of gross (pretax) income
Discretionary expenses (clothing, entertainment, restaurants, etc.)	Not to exceed 20% of after-tax income
Auto loans and credit card debt	Not to exceed 20% of after-tax income
Combined monthly debt	Not to exceed 36% of monthly gross (pretax) income

Compounding

At hypothetical rates of return

4%

Monthly investment		5 years	10 years	20 years	30 years
$ 50	Amount invested	$ 3,000	$ 6,000	$ 12,000	$ 18,000
	Value	$ 3,326	$ 7,387	$ 18,400	$ 34,818
$ 100	Amount invested	$ 6,000	$ 12,000	$ 24,000	$ 36,000
	Value	$ 6,652	$ 14,774	$ 36,800	$ 69,636
$ 500	Amount invested	$ 30,000	$ 60,000	$ 120,000	$180,000
	Value	$ 33,260	$ 73,870	$ 183,998	$ 348,181
$ 1,000	Amount invested	$ 60,000	$120,000	$ 240,000	$360,000
	Value	$ 66,520	$ 147,741	$ 367,997	$696,363

6%

Monthly investment		5 years	10 years	20 years	30 years
$ 50	Amount invested	$ 3,000	$ 6,000	$ 12,000	$ 18,000
	Value	$ 3,506	$ 8,235	$ 23,218	$ 50,477
$ 100	Amount invested	$ 6,000	$ 12,000	$ 24,000	$ 36,000
	Value	$ 7,012	$ 16,470	$ 46,435	$ 100,954
$ 500	Amount invested	$ 30,000	$ 60,000	$ 120,000	$ 180,000
	Value	$ 35,059	$ 82,349	$ 232,176	$ 504,769
$ 1,000	Amount invested	$ 60,000	$120,000	$ 240,000	$ 360,000
	Value	$ 70,119	$164,699	$ 464,351	$ 1,009,538

8%

Monthly investment		5 years	10 years	20 years	30 years
$ 50	Amount invested	$ 3,000	$ 6,000	$ 12,000	$ 18,000
	Value	$ 3,698	$ 9,208	$ 29,647	$ 75,015
$ 100	Amount invested	$ 6,000	$ 12,000	$ 24,000	$ 36,000
	Value	$ 7,397	$ 18,417	$ 59,295	$ 150,030
$ 500	Amount invested	$ 30,000	$ 60,000	$ 120,000	$ 180,000
	Value	$ 36,983	$ 92,083	$ 296,474	$ 750,148
$ 1,000	Amount invested	$ 60,000	$ 120,000	$ 240,000	$ 360,000
	Value	$ 73,967	$ 184,166	$ 592,947	$ 1,500,295

Values shown are based on investments made at the beginning of each month, compounded monthly, and do not reflect the return of any particular investment. These tables are for illustrative purposes only and do not reflect the effects of taxes or transaction costs.

Wells Fargo Advisors does not render legal or tax advice. While this reference guide is not intended to replace your discussions with your appointed tax advisor, it may help you comprehend the tax implications of your investments and plan tax efficiently.

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